III

The quality and integrity of the RBI's staff is a national treasure that we should do everything to preserve. On the internal front, my biggest regret is that I could not solve a long-pending matter that I inherited from my predecessors: securing for retired RBI staff the same pension benefits that government employees enjoy, despite repeated assurances from the government that the matter would be addressed. I hope the government will do the right thing here.

The Reserve Bank, perhaps because of its competence and integrity, is called upon to do a lot. Moreover, because it is the primary institution safeguarding our monetary and financial security, it has to say no to a lot of powerful people with significant interests. All this means there are perpetual battles with those who disagree with RBI policy, and who believe the easiest way to change policy is not to persuade the RBI but to take away its powers. I did not think the RBI needed all the powers it had, nor did it have all the powers it needed, but I was wary of suggestions for change that were not accompanied by sound rationale. I feared that without such rationales, we might be giving in to motivated interests (who wanted a less competent regulator) or power grabs (from those in government who wanted to expand turf) or the RBI might become a scapegoat (as we were entrusted with tasks that could not possibly be accomplished).

I mentioned earlier that committee reports are the way to initiate change in government. The legitimacy of committee reports, of course, varies, especially if they are driven by a specific agenda or by interested parties. A vast quantity of underlying research can mask the fact that many policy recommendations are ultimately just opinions, unsupported by research. The Financial Sector Legislative Reforms Committee (FSLRC) report, commissioned by the finance ministry in the UPA government, recommended enormous changes to the financial system. Some recommendations were very useful and well-thought-out, but my fellow regulators and I had serious concerns about the practicality of, and rationale for, other recommendations, and whether they were really connected to the research that underlay the report. Here, the biases of some of those who commissioned the report or the drafters, rather than a reasoned consensus among all members, seemed to be coming through. Few realized that the report was submitted with a large number of recorded dissents to its final draft. With pressure building to implement it without a consensus being reached with regulators – as if it was the law of the land rather than simply another report – I thought it was